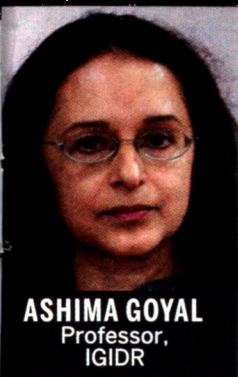


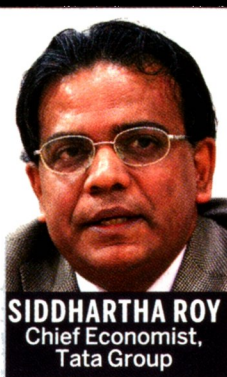
are prime concerns that need to be addressed



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- Maintain liquidity. Give tax credits to lower middle class to spur demand. Do not raise procurement prices for agri goods.

- Remove bottlenecks that affect the average Joe. Invest in facilities to provide access for skills upgradation.

- To maintain fiscal deficit levels, we cut spending in public investment. We must instead ensure capital expenditure.

- Implement decisions on reforms. Protect exporters, remove CST, allow SMEs to amortise forex losses.

- Implement pension reforms, make the common economic market happen across India and implement GST.

- Channelise savings better into domestic investments, ensure stronger safety net. Develop the debt market.

- Increase liquidity, cut interest rates. Address rollover problems of corporates by making forex available.

- Make available long term capital for infrastructure projects. Bring in PF and insurance money into the projects.

- Revive the unfinished structural reforms agenda. They need to be put into place by this and the next government.

Inflation 1-3%

Interest 6%

Rs-\$ rate 45

Inflation 3-4%

Interest 6-6.5%

Rs-\$ rate 45-46

Inflation 5%

Interest 5%

Rs-\$ rate 50

6-7%

5.8%

5.5%

Is Everyone Doing Badly?

WHICH ARE THE WORST-HIT SECTORS?

Debroy: Let us first get a few points in place. The general view is that from Q3 of the next calendar year, we will witness the beginning of a new global order. So, when we say which sectors are the worst hit we mean worst hit at Q3 of the next calendar year. I also think in terms of numbers; we have not realised how bad the situation is. Most of the numbers we are talking about are till the end of September, which means the fortnight of that if at all. Critical numbers to watch out for will be CSO numbers that will come out on February 22, and that will tell us how bad it is. Coming to the worst hit, almost every sector is today integrated with the other. In saying that any sector that is export linked, I don't just mean export of goods, also equipment and services. In addition, to state the obvious, real estate, housing and construction—some of the infrastructure groups that are dependent on external capital—are some of the sectors to be hit. To shoot from what you are saying is that a large part of the pain is money—liquidity.

Dev: The manufacturing sector will be the most affected. In agriculture, there is a silver lining; in the last three years the growth rate has been around 4-5 per cent, so there is some rural demand. But in the last quarters—see 2007-08, the last quarter was 2.9 per cent—it was quite down. But the credit problem may hit agriculture also. The biggest impact will be on SMEs. There are about 58 million such enterprises which employ 100 million and account for 31 per cent of the GDP but get only 2 per cent of the credit. So even if we increase credit by 1 per cent, the estimates show 10 million jobs can be created.

Gokarn: I think there are two levels of impact. One is at the sector level, which is clearly on anybody who is exporting and, therefore, more exposed to US or European conditions particularly. Not only will they be hit but also when recovery starts in the US—probably in 2010—as millions of enterprises desperately claw for a market share. The bottom of the pile though will be in areas like construction which has the potential to benefit but where there is an issue of guarantees. Nobody will buy unless assured of delivery and that cannot happen in an uncertain credit environment. Even the best are suffering now. At the second level, there is the issue of companies. There are many who are diversifying geographically but are competing with Chinese companies, supplying to the same company. This specialisation will be hit very badly, particularly small exporters that are tied to one customer.

Bery: If you take small-scale labour intensive exports, those are going to be very difficult for some time to come. And the question is what are the implications of that and what do we do about it?

Kumar: I think the effect is going to spread. Today import-oriented, interest-related or capital cost-related sectors are being hit. As an impact of the bad news from